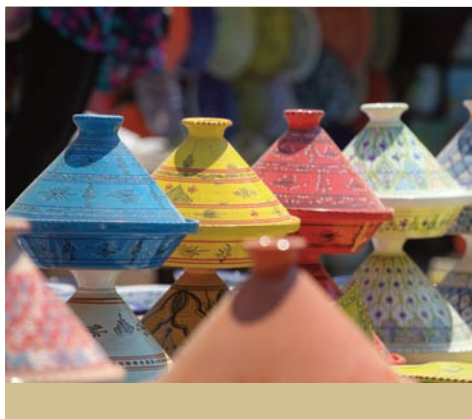




Tunisia



Membership year	1964
Start of lending operations	1968
Number of ADB operations approved, 1967-2012	116
Subscribed Capital (%) as of December 2012	1.408
Total voting power (%) as of December 2012	1.407
Number of operations in the current portfolio	28
Total loan amount of operations in the current portfolio (UA million)	1190

Tunisian Republic

Recent Developments

The transitional process in Tunis has taken longer than anticipated with the postponement to 2013 of the adoption of the Constitution and the holding of legislative and presidential elections. More than a year after the election of the National Constituent Assembly, the work on the drafting of the Constitution is still continuing. Social conflicts have increased since the summer, especially in the country's interior, sometimes leading to violent clashes with the security forces. Despite this escalation of violence, strikes and blockages in the productive sectors have declined in comparison with the previous year.

Despite a national and international environment still marked by uncertainties, the Tunisian economy achieved moderate growth of 3.5% in 2012, though slightly below the Government's target for 2012, compared with a contraction of almost 2% in 2011. This performance which was bolstered by the stability of domestic demand was due to the positive performance of agricultural production as a result of favorable rainfall, the relative recovery of tourism and foreign direct investment (FDI) as well as the resumption of oil and gas and phosphate production which was virtually at a standstill in 2011. On the other hand, the European crisis and consequently the drop in external demand impacted negatively on exports of the offshore sector especially textiles and mechanical and electrical industries.

In the wake of the Revolution, the Tunisian Authorities are still trying to respond to the urgency of socio-economic demands and to support recovery through an expansionary fiscal policy encouraging consumption and public investment. This option, constrained by the slowdown in economic activity, the deterioration of the international environment and persistent social claims, has resulted in a widening of the fiscal deficit which was expected to reach 6.6% of GDP in 2012 (compared to 3.2% in 2011). The forecasts for 2013 predict a fiscal deficit of 5.9% which is expected to gradually narrow to 2.5%, by 2017, due to a higher growth rate. The inflation rate exceeded 5% in 2012 compared to 3.5% in 2011.

The ongoing implementation of the Government's Economic Recovery Programme coupled with the deterioration of the fiscal deficit resulted in an increase in outstanding public debt from 44.5% of GDP in 2011 to 45.9% of GDP in 2012. This upward trend is expected to continue until 2016 before reversing but will remain sustainable subject to the maintenance of a moderate growth rate. In 2012 the trade deficit stood at about 15 % of GDP and the export/import coverage ratio fell to about 60%. The economic results are expected to remain below expectations in the short-term and the unemployment rate to remain high, pending the implementation by the Government of the major structural reforms and a sound economic recovery in Europe, Tunisia's main economic partner.

The political uncertainties are slowing down economic decisions and weakening the timid recovery. The highest risks concern social movements and possible expansionary fiscal policies which could be implemented in anticipation of the elections. However, Tunisia's economic development potential remains intact, but the reforms initiated in 2011 by the transitional authorities to intensify growth, improve governance and reduce regional disparities, must be pursued in a stable and predictable long-term political and social climate in order to restore both investor and citizen confidence to encourage the transformation of the economy in favour of sectors with higher value added, including a better use of natural resources, in particular, the modernization of agriculture and the development of renewable energies.

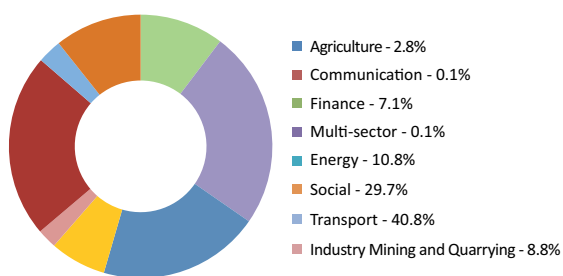


Overview of Bank Group Operations in Tunisia

A founding member of the Bank, Tunisia is one of its 3 main clients along with Morocco and Egypt. Ranked as a middle-income country, Tunisia mainly benefits from ADB resources to finance its investment projects and programmes. However, from 2005, the Bank expanded its support to Tunisia's development by financing, in the form of grants, from the resources of the MIC Trust Fund, studies and capacity building support operations aimed at deepening its knowledge of the country and strengthening the institutional capacity of the Tunisian administration.

Since 1968, at the start of its operations in Tunisia, the Bank Group has approved 116 operations representing total net cumulative commitments of about UA 4824 million. The breakdown of these resources shows a concentration of Bank commitments in the area of reform support operations (26% of the total) followed respectively by the: i) financial (22%), transport (21%), agriculture (9%), mines and industry (9%); energy (7%) and social (2%) sectors.

Figure 5.24: Active portfolio by sector



At the end of 2012, the Bank's portfolio in Tunisia comprised fifteen (15) active and thirteen (13) studies and institutional support operations financed on the technical assistance funds (MIC and AWF) for a cumulative amount of net commitments equal to UA 1279 million. The overall disbursement rate was 63.5%. The active portfolio comprises 83% public sector

(sovereign) projects and studies and 17% private sector (non-sovereign) projects.

Figure 5.25: Cumulative Bank and Group Loans and Grants by Institutions in Tunisia (1968 – 2012)



The portfolio's sector breakdown remains marked by a high concentration on the infrastructure sector and the multi-sector which represent 60% and 26% respectively of the active portfolio. The average age of the public sector portfolio is 2.8 years and remains satisfactory despite frequently observed delays in the start up and implementation of economic and sector work and institutional support operations. The private sector portfolio comprises five active projects. The portfolio does not contain any problem projects or projects at risk. It remains one of the Bank's best portfolios.

Transport Sector

The transport sector plays a key role in Tunisia's development process. Since 2008, and as part of the process to increasingly open up the Tunisian economy to the outside world, particularly the European Union, successive Tunisian governments have continued, with the support of their development partners, including ADB, the establishment of an efficient, high quality transport system in order to boost exports and speed up economic growth.



The road network is the most important component of this system since it accounts for almost all movements of persons and over 80% of the transportation of goods and export products. Different road projects implemented by the country have helped to modernize the classified network and build its capacity due to an increase in the proportion of paved roads and widening of the carriageway. The ADB provides regular and significant support to the Government's efforts to rehabilitate and modernize the classified road network as well as to the construction of rural roads in disadvantaged regions. Over 1700 kilometres of roads have been rehabilitated, a further 1000 kilometers strengthened and several dozen road structures built, with Bank financial support. Since 2011, the Bank has been continuing the implementation of the Gabes-Médenine-Ras-Jedir motorway project aimed at speeding up national and international trade between Tunisia and Libya as well as strengthening sub-regional integration. The Bank is currently preparing a medium term strategy study on improving road safety.

Water Sector

Most of Tunisia's territory is arid due to its geographical location between the Mediterranean and the Sahara. This aridness combined with the variability of the Mediterranean climate means that water is both a scarce resource and unevenly distributed in time and space. Water resources are subject to both seasonal and inter-annual temporal variability which is much more pronounced in the south. These resources are also unevenly distributed geographically and, especially, without any relationship to the concentration of demand.

The most recent assessment of water resources in Tunisia reports 4,503 billion m³ available, 2.7 of which represent surface water and 1.803 groundwater. The main wadis, including the Medjerda wadi are to be found in the North and receive the most rainfall (over 400 millimeters per year). The North, therefore, accounts for 82% of the country's water resources. The centre (between 400 and 200 millimetres per year) and the south (below 200 and often 100 millimetres per year) are characterized by aridness and endorheism: they thus only supply 12 % and 6 % of

the resources, whereas they represent 62 % of the country's surface area, but receive the bulk of the underground resources. These resources have easily led to a doubling of the surface areas of oases over thirty years from 15,000 to 36,000 irrigated hectares. By 2030, a shortfall in resources is forecast and demand management would thus be a priority. In addition to the salinity which affects almost half of the water resources, surface waters are characterized by fairly high levels of suspended solids due to a combination of several factors such as water erosion, the topography, the geological nature of soils, the climate, anthropic activities, etc. This turbidity results in the silting up of water storage facilities which shortens their useful life.

The scarcity of water resources, the variability and irregularity of its distribution on the one hand, and increase in demand for water, on the other, require particular attention on the part of the managers regarding the identification, mobilization and rationalization of the use of water resources.. For over three decades water resources have been the subject of detailed planning and many strategic studies on the sector's main problems, namely: (i) integrated management and conservation of water resources; (ii) the economic efficiency of the use of irrigation water, (iii) institutional reform and capacity building in the water sector. At the present stage, the actions of the public authorities aim to evolve from a water resource mobilization policy to a demand management policy using different technical, legal, economic and institutional instruments.

During the past three decades, water has occupied a major place in Tunisia's economic and social development plans. Agriculture is by far the most important consumer of water followed by households and tourism. The efforts made to meet the country's different requirements have enabled it to acquire considerable water infrastructure: 27 dams, 200 hillside dams, 766 hillside lakes and over 3000 boreholes and 151,000 surface wells harness 83% of all exploitable water resources. The African Development Bank is supporting the Government's efforts aimed at : i) ensuring efficient water resource management; ii) meeting the drinking water requirements of the population, especially in rural areas, as well as the

requirements for the development of agriculture and tourism; and iii) defining a long-term strategy for the development and efficient exploitation of the country's water resources. There are three ongoing operations and 6 economic and sector studies from ADB loans and MIC and African Water Facility Grants.

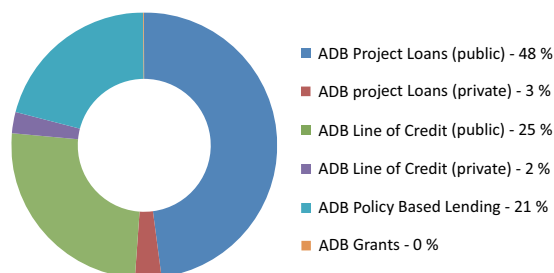
Energy Sector

Since the early 90s Tunisia has faced with a sustained annual increase in energy demand of about 5%. This trend is due to growth of the productive sector, but also to social development and new consumer demand created by improved household living standards, the country's opening up to the outside world and the strengthening of infrastructure. To satisfy this demand, Tunisia is seeking to diversify and ensure the security of its supplies in the long-term, reduce its energy bill and promote the rational use of energy. Industry remains the biggest consumer of energy, even though its share has fallen over the past twenty years from 40.2% of total consumption in 1980 to 33.8% in 2004. This decline is mainly due to the fact that the development of energy consuming industries has given way to the development of tertiary sector activities including tourism and the emergence of high value-added industrial sub-sectors such as textiles which are less energy consuming.

In view of rising demand and the decline in natural resources, an appropriate energy policy has been established focused on the following objectives: (i) the development of national oil and gas resources; (ii) the development of national energy infrastructure, regional energy cooperation and integration in order to ensure continuing, guaranteed supplies for the country at least cost (iii) pursuit of the strategy to develop the use of natural gas to replace other hydrocarbons and (iv) the promotion of energy efficiency through the management and rational use of energy, the development of new and renewable energies and environmental protection. In order to achieve these objectives, legislative and regulatory measures have been taken to liberalize the sector, especially in the areas of oil and gas exploration and production, electric power generation and energy management. For several decades, ADB has backed the Government in its efforts to ensure the country's

electrification in order to support economic activity, satisfy the requirements of the population, especially in rural areas, and support growth.

Figure 5.26: Cumulative ADB Loans and Grants by Instruments in Tunisia (1968 – 2012)



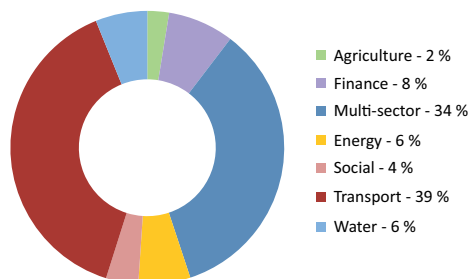
Agriculture Sector

The agriculture sector has a key position in the Tunisian economy. For the past two decades Tunisia has pursued an agricultural development strategy mainly focused on economic growth and social stability. Sustainable productivity, easier market access and improved living conditions of farmers are its main objectives. Overall, and under the 7th, 8th, 9th and 10th National Development Plans, agriculture has progressed at the same pace as Tunisia's economic growth and has achieved average growth rates influenced by climatic factors. The agriculture sector's contribution to GDP averages about 12%.

Though the agriculture sector's development is heavily dependent on weather conditions, it has real potential, but there are still constraints such as: the rural population in Tunisia represents a third of the total population and is the worst affected by poverty. A quarter of the active population works in the agriculture sector, which to-date has 5.6% of women farm heads. Some products such as olive oil, dates and fishery products have comparative advantages, which could be better capitalized on. However, constraints remain, mainly water and land, followed by credit (problem of access, guarantee and insurance), particularly for small farmers, the lack of autonomy of farmer associations, insufficient enhancement of agricultural produce, (packaging and marketing), land tenure and the parceling of land.



Figure 5.27: Structure of the current portfolio by sector in Tunisia



Social Sectors

Thanks to decades of continued health policy, Tunisia has made significant progress which has resulted in the expansion of health coverage and an improvement in the level of all the indicators. It is currently estimated that 90% lives less than 5 kilometres from a health centre and that there is one physician for fewer than 1200 inhabitants, one of the highest rates among developing countries. In

addition to central government resources, the sector also benefits from the African Development Bank's technical and financial support.

The Government's education policy is in line with a strategic vision for economic development and social transformation will contribute to the emergence of a knowledge society. The results achieved are conclusive, with, in particular a primary school enrolment rate of 99.2% and gender parity in the primary and secondary cycles. The Government's higher education promotion policy implemented in recent decades, and the real interest in higher education displayed by families have resulted in a large increase in numbers with, as a corollary, graduate output of over 50,000 per year, a significant proportion of whom experience great difficulty in finding a job commensurate with their qualifications. The Bank, in synergy with other development partners, is supporting the Government's reform programmes to promote inclusive growth and foster job creation especially in favour of higher education graduates.



Bank Group Strategy and ongoing Activities in Tunisia



Since 2012, the Bank's operational activities in Tunisia are consistent with the 2012-2013 Interim Strategy focused on two Pillars: (i) Growth and Economic Transition (including governance and economic transformation), and (ii) Inclusion & Reduction of Regional Disparities (including job creation and access to basic services in the regions).

The Bank intervention in 2012 was affected by the sustainable commitment ceiling and focused on a budget support operation to encourage reforms in the following areas: reduction of regional and social disparities, the opening of micro-finance and capital markets. The Bank also launched an innovative partnership to promote social entrepreneurship sector (Souk Attanmia).







Enfidha Airport

ADB Loan Amount	€ 70 million
Co-Financiers	TAV Tunisia, IFC, EIB, Proparco, OPEC, Commercial Banks, Tunisian Grnment & Monastir Airport operations
Approval Date	January 2009
Expected Completion Date	March 2010
Location	Enfidha and Monastir
Executing Agency	TAV Tunisia

Background and Objectives

The Tunisian government's 2007-2011 Eleventh Economic and Social Development Plan details the country's strategy to modernise its infrastructure sector. The authorities believe that this will lead to an improvement in trade links, export and tourism sectors thereby boosting the country's GDP and resilience of the economy.

In line with this, Tunisia is upgrading and expanding its airport infrastructure and in 2007 awarded two Build, Operate and Transfer concessions to TAV Airports of

Turkey: (i) to upgrade/maintain and operate the existing Monastir Airport, and (ii) to build, operate, and maintain a new airport at Enfidha, which is about 100 km south of Tunis and 60 km from Monastir Airport.

The Bank has approved a senior loan of € 70 million, with a maturity of 20 years for this project. The project's primary objective is to remove capacity constraints on Tunisian airport infrastructure by constructing and operating a new International Airport at Enfidha.

Description

The project comprises the:

- Construction, operation, and maintenance of the new Enfidha Zine El Abidine Ben Ali International Airport; and
- Operation and maintenance of the existing Monastir Airport.

Expected Outcomes

The project intends to:

- Improve service quality, safety and security standards;
- Provide better value proposition for tourists;
- Increase government direct revenues; and
- Create jobs.



Road Project V

ADB Loan Amount	UA 162.50 million
Co-Financiers	Government of Tunisia
Approval Date	May 2008
Expected Completion Date	December 2013
Location	All 24 of the country's Governorates, with the exception of Kasserine, Gafsa, Kebili, Tataouine and Tozeur
Executing Agency	Ministry of Equipment, Housing and Regional Development, General Directorate of Highways



Background and Objectives

Roads are an important mode of transport in Tunisia, with an average density of 70lm/km² and 12,600 km of paved roads, the national classified road network serves all the Governorates of the country and provides links with neighbouring countries. This network accounts for virtually all movements of persons and 80% of the transportation of goods.

In view of the important role the transport sector plays in the economic and social development process and as support to the strategy to integrate into the global economy, the government embarked on an ambitious program aimed at establishing an efficient transport system and high quality infrastructure for the 1997-2006 decade (covering the 9th and 10th Plans).

The Bank participated in the financing of these projects by granting five loans of a total cumulative value of UA

459.5 million, thereby helping to rehabilitate 1,700 km of roads, reinforce a cumulative length of 850 km of roads, and build 88 highway structures spread over the classified road network.

To further consolidate these achievements the project will also upgrade the road infrastructure with a view to ensuring a safer, more efficient, high quality transport system. Specifically the project's objective is to improve the level of service of the classified road network so as to intensify intra and inter regional trade and improve the accessibility of the country's principal development poles.

Description

The project comprises four main components:

- Developmental road works to be carried;
- Rehabilitation works;
- Strengthening works; and
- Constructions works.

Expected Outcomes

The project intends to:

- Rehabilitate the capacity of roads built in terms of condition of carriage way structures and their size.

Road Project VI

ADB Loan Amount	UA 206 million
Co-Financiers	Tunisian Government
Approval Date	September 2010
Expected Completion Date	December 2016
Location	Nationwide
Executing Agency	Ministry of Infrastructure, Housing and Regional Planning (MEHAT)

Background and Objectives

In order to consolidate its socio-economic performance, Tunisia chose a strategy of progressive integration into the global economy, and in doing so prioritized transport as an important avenue for economic and social development. The current road project constitutes the second branch of the infrastructure investment program outlined by the 11th Plan of Social and Economic Development.

This project is built into the framework of the ongoing strategy to upgrade the transport sector. This strategy aims to promote an efficient transport system and quality in order to sustain growth and create conditions for improved export competitiveness. Specifically, the project aims to improve the service level of the road network so as to improve the accessibility of major poles of development, intensify intra and inter regional trade, contribute to the promotion of an efficient transport system in order to sustain growth and create conditions of competitiveness, and to improve the service level of the road network.

Description

This project will entail the:

- Improvement of the road network, involving the rehabilitation of 862.8 km of roads in 23 governorates;
- Reinforcement of the network covering 691.3 km of roads in 18 governorates;

- Construction of 12 engineering structures, covering 1,770ml in 10 governorates;
- Improvement of feeder roads, covering 759.4 km in 23 governorates;
- Modernisation of additional road sections involving 52.6 km of roads;
- Supervision of works and coordination of the various activities, including geotechnical and quality control of work implementation and the assistance mission of private consulting firms for the supervision and control of works on engineering structures, feeder roads and modernization of additional road sections.

Expected Outcomes

The outputs of the project after completion include:

- The expropriation of 50 ha of land, and the displacement of networks for the release of land required for rights of way;
- The rehabilitation of roads through the strengthening and construction of dual carriage way, and the development of feeder roads;
- Traffic conditions improved and secured on the classified road network and freer roads.



Highway Project Gabes-Medenine-Ras Jedir

ADB Loan Amount	UA 118.04 million
Co-Financiers	Japanese International Cooperation Agency and the Government of Tunisia
Approval Date	June 2011
Expected Completion Date	December 2017
Location	South East Tunisia
Executing Agency	Société Tunisie Autoroutes and the Tunisian Government

Background and Objectives

The region directly influenced by the project in Southeastern Tunisia—including Ben Gardane, Tataouine, Medenine, Zarzis and others—has one of the highest poverty and unemployment rates in the country. This project aims to improve the general efficiency of the transport system so as to increase national and international exchanges in Tunisia. Specifically, the project will facilitate the movement of people and goods between Gabes and the Tunisian-Libyan border.

Due to the creation of both direct and indirect employment resulting from the construction of the highway, the project will contribute to the government's objectives to reduce unemployment amongst the youth as well as regional disparities, notably in areas that have previously been excluded from highway projects.

Description

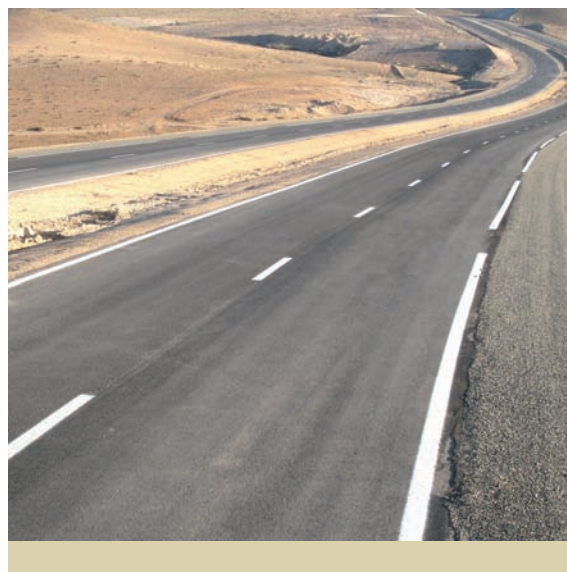
The project entails:

- The construction of 195,020 km of 2x2 roads between Gabes and Ras Jedir;
- The creation of tolls between Gabes and Ras Jedir.

Expected Outcomes

This project will result in:

- The creation of over 2,000 direct jobs in the construction phase, and 160 direct jobs in the operational phase;
- The creation of 30,000 indirect jobs in the tourism sector;
- The reduction of transportation costs and the general improvement of travel conditions between Gabes and the Tunisian-Libyan border.



ETAP Corporate Loan



ADB Loan Amount	US\$ 150 million
Approval Date	March 2010
Expected Completion Date	May 2015
Location	Hasdrubal field
Executing Agency	ETAP

Background and Objectives

Tunisia's National Development Programme, the 11th Development Plan (2007-2011), stresses the need to accelerate economic growth and create jobs in order to reduce the unemployment rate. The National Energy Strategy considers energy management as one of the major national priorities. It emphasizes the replacement of hydrocarbons by natural gas as an alternative that should be developed.

The purpose of the corporate loan to ETAP, the national state owned oil and gas company, is to finance ETAP's investment plan over the years 2009-2010 with a main focus on Hasdrubal project. The objective of this project was to construct a stand-alone gas, condensate and oil production system in the Gulf of Gabes so as to enhance the production capacity of oil and gas in Tunisia and thus promote economic growth in the Tunisian oil and gas sector in light of its strategic importance for the country.

Description

This project will entail:

- The drilling of six offshore horizontal producing wells;
- An offshore production platform used for production from offshore wells;

- An onshore processing plant used by the Hannibal concession for gas production;
- A gas pipeline between the onshore terminal and the Ben Sahloun city gate;
- LPG facilities: these are LPG processing facilities at the onshore terminal, LPG storage tanks at Gabes and two separate LPG gas pipelines for butane and propane.

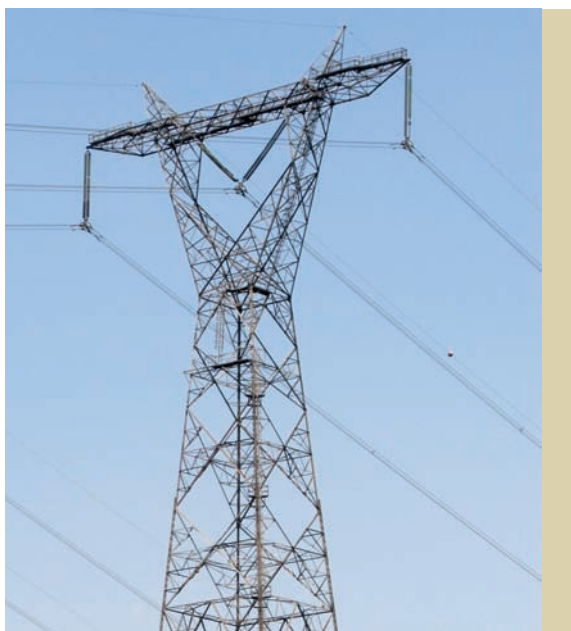
Expected Outcomes

The project will result in:

- Increasing Tunisia's energy independence in particular for gas as the Hadsbyral project will contribute to about 15% of national gas consumption by 2011;
- Increase oil and gas production in the country with 880 million cm of natural gas being produced by the project;
- Increase the Government's revenue linked to oil and gas activities with a total of USD 720 million (nominal) revenue generated from 2010 to 2014;
- Enhance the country's balance of payments with a net effect of USD 320 million over 2008-2014;
- Curb unemployment through the creation of 1,300 temporary jobs and 90 permanent jobs.

Electricity Distribution Networks Rehabilitation and Restructuring Project

ADB Loan Amount	UA 42.34 million
Co-Financiers	Government of Tunisia/Tunisian Electricity and Gas Company
Approval Date	July 2009
Expected Completion Date	November 2012
Location	Nationwide
Executing Agency	Tunisian Electricity and Gas Company



Background and Objectives

Since the early 90s, Tunisia has witnessed sustained growth of 5% per annum in power demand. This development stems from the growth of the productive sector, social development and new consumer demands following the improvement of household living standards. This has led to a saturation of part of the existing power distribution system and deterioration in service quality in some areas.

The Bank's strategy in Tunisia is closely linked to the thrusts of the 11th Plan which is the cooperation framework of between Tunisia and its development partners from 2007-2011. The plan's energy sector objectives are in line with the country's energy policy, which aims to diversify and protect supplies, reduce the energy bill and promote a rational use of energy.

The objective of the Electricity Distribution Networks Rehabilitation and Restructuring Project is to make cuts on fuel spending by reducing losses in the distribution system.

Description

The project includes:

- Constructing distribution networks;
- Strengthening STEG's technical resources; and
- Managing the project.

Expected Outcomes

The project intends to:

- Improve the service quality;
- Save energy; and
- Reduce the environmental impact of electricity distribution.

Integrated Agricultural Development Project for Kairouan (IADP)



ADB Loan Amount	UA 14.713 million
Co-Financiers	Government of Tunisia, Beneficiaries, Micro credit Associations
Approval Date	March 2006
Expected Completion Date	December 2013
Location	Governorate of Kairouan
Executing Agency	Commissariat Régional au Développement Agricole de Kairouan - Tunisia

Background and Objectives

In spite of Tunisia's substantial investments in the agricultural sector, part of its rural population continues to live on low incomes. Part of the government's strategy within the framework of its 10th Five-Year Development Plan (2002-06) was to target these rural farmers with a view to improving their income and living conditions.

The Bank Group has funded the implementation of five rural integrated development projects in Tunisia, similar to the envisaged project (the Mahdia Rural Development Project, Phases I & II; the Gabès, Gafsa and Kasserine Integrated Agricultural Development Projects). This cooperation has allowed the Bank to acquire extensive experience in the design and implementation of rural integrated development projects.

The specific objective of the project is to promote sustainable agricultural development through rural infrastructure development, participatory agricultural development, and capacity building for administrative services and beneficiary organizations.

Description

The project includes:

- Developing rural infrastructure which will involve building access roads, laying down water supply

networks, creating irrigated perimeters, constructing soil and water preservation works and forestry works;

- Developing agricultural which will allow direct investments in farms; and
- Building capacity to strengthen administrative services and beneficiary organizations.

Expected Outcomes

The project intends to:

- Reduce poverty in the project area;
- Increase in market garden produce;
- Increase in fruit production;
- Increase in production of meat and of milk; and
- Improve the management of natural resources.



Support for the Programme to Strengthen Drinking Water Agricultural Development Cooperatives

ADB Loan Amount	UA 587.138 million
Co-Financiers	Tunisian Government
Approval Date	October 2009
Expected Completion Date	December 2014
Location	Nationwide
Executing Agency	The Ministry of Agriculture and Water Resources (MARH)

Background and Objectives

Support to Agricultural Development Cooperatives (GDA) is an integral part of the Water Sector Investment Programme (PISEAU), which aims to consolidate operations in remote areas where the level of poverty is high.

Having the same overall objective of PISEAU II, this study aims to sustainably improve the rational management of the drinking water supply by the agricultural development cooperatives with the effect of promoting the living conditions of Tunisian rural dwellers, and the mobilization and rational use of water resources in Tunisia.

Description

This study will entail the following components:

- Improving the working conditions of GDAs and cooperation with the institutional and organisational environment, namely the stakeholders in the sector;
- Providing training of and technical assistance to GDAs;
- Enhancing the human and material capacity of GDAs;
- Sensitizing the target population;
- Introducing appropriate billing by applying the demand management principle;
- Reorganizing the servicing and maintenance function, and the institutional and organizational development of GDAs; and

- Providing support to the Directorate-General of Agricultural Engineering and Water Supply (DGGREE) and the Regional Agricultural Development Commission (CRDA) for implementing the programme.

Expected Outcomes

This study will result in the following outcomes:

- Improvement of the living conditions of Tunisian rural dwellers by increasing the services rate from 92% in 2008 to 97% in 2013 and 100% in 2020;
- Promote the mobilization and rational use of water resources in Tunisia by increasing the percentage of effective GDAs to 70% in 2011, and 90% in 2013.



Water Sector Investment Project Phase 2 (PISEAU II)



ADB Loan Amount	€ 22.91 million
Co-Financiers	AFD, WB, Various grants, Government of Tunisia
Approval Date	March 2008
Expected Completion Date	December 2013
Location	Nationwide
Executing Agency	Ministry of Agriculture and Water Resources

Background and Objectives

PISEAU II implements the second component of the Tunisian Water Mobilization and Management Strategy 2002-2011, and it is a follow-up on PISEAU I implemented from 2002-2007. PISEAU II extends and consolidates the achievements of PISEAU I by giving priority to interventions in remote regions where poverty is rampant.

The PISEAU II aims at promoting efficient and integrated management of both conventional and non-conventional water sources thereby enabling Tunisia to meet the challenge of safe water scarcity in the country. The aim is to make the project a tool for managing water scarcity by enabling beneficiaries participate in the management of resources and infrastructure, as well as by promoting appropriate tariff systems.

Description

The project will be implemented through the following activities:

- Developing and strengthening irrigation management in the project area;
- Establishing and rehabilitating drinking water supplies;
- Developing underground water management;
- Establishing and monitoring an environmental protection system; and

- Developing institutions and building capacity to implement various research activities.

Expected Outcomes

The project intends to:

- Promote sustainable use of irrigation infrastructure;
- Increase drinking water access and use by rural communities; and
- Support investment decisions which will be informed by the data generated through improved monitoring systems.



North Gafsa Integrated Agricultural Development Project (PDAI)



ADB MIC Grant Amount	UA 18.317 million
Co-Financiers	Government of Tunisia
Approval Date	February 2013
Expected Completion Date	Not yet determined
Location	Tunisia (North Gafsa)
Executing Agency	Government of Tunisia

Background and Objectives

Despite a significant reduction in poverty and considerable improvement in social indicators, wide disparities persist between the coastal regions and the Tunisia's interior in terms of access to basic social services. The regional disparities are heightened by the concentration of public services, investments and economic activities in the coastal region, which accounts for 65 % of public investments. The North Gafsa PDAI is in line with the Government's efforts to implement its Transitional Programme focused, among other objectives, on the reduction of regional disparities. The project goal is to reduce rural poverty in the Gafsa Governorate. It will focus on three components: (i) Rural Infrastructure Rehabilitation; (ii) Participatory Agricultural Development; and (iii) Project Coordination and Management.

Description

The project activities concern:

- The construction of rural infrastructure, drilling of 29 boreholes for irrigation and rural drinking water supply;
- Establishment of 17 piezometers for monitoring deep-water aquifers; promotion of participatory agricultural development: tree planting in irrigated areas; establishment of planted bunds (tabias);
- Improvement of range-land; procurement of dairy cows mostly benefitting women, the implementation of micro-projects for the poorest;

- Training and capacity building activities for the beneficiaries;
- Support to project coordination and management: procurement of vehicles, machinery, IT and office automation equipment; internal monitoring and evaluation of project performance indicators and;
- Conduct of annual audits.

Expected Outcomes

The project outcomes will be :

- The creation and rehabilitation of the PIA, equipped for full control irrigation, covering an area of 180 ha, and the development of 200ha of land, equipped for back-up irrigation;
- Development of rural roads (118 km); implementation of SWC works on about 5,150 ha; improvement of 700 ha of pastoral land;
- Electrification of irrigation water points;
- Establishment and rehabilitation of 14 DWS systems;
- Planting of fruit trees;
- Support for micro-projects for women and young people;
- Sand encroachment control;
- Animal production development;
- And technical support to farmers and their associations, including those belonging to women.



Study on the Preparation of the Gabes and Gafsa PDAIs



ADB MIC Grant Amount	UA 0.38 million
Co-Financiers	Government of Tunisia
Approval Date	July 2012
Expected Completion Date	December 2014
Location	Nationwide
Executing Agency	Government of Tunisia

Background and Objectives

Tunisia has made considerable progress in terms of poverty reduction and improvement of social indicators, but regional disparities remain a major challenge for the country. The coastal regions are more developed than those of the centre and south. Over the past decade, these regions have also benefited from 65% of public investment. These geographical disparities combined with poor governance, high unemployment (especially among young graduates) were the main triggers and drivers of the Tunisian Revolution. To contribute to a reduction of regional disparities, the Transitional Government decided to implement Integrated Agricultural Development Projects (PDAI) in the country's disadvantaged regions.

The study aims to: (a) analyze and define the infrastructure for the Gafsa and Gabes PDAI under preparation; (b) analyze and determine the conditions for micro-project implementation; and (c) analyze and determine the project baseline situation and the establishment of a monitoring and evaluation system.

Description

The study will be conducted in 2 phases:

- Phase I will focus on the preliminary designs (PD): at the PD level, the preparation of engineering designs for the sites identified as well as structural

requirements. An overall estimate of the development works will also be presented.

- During the second phase, details of all the components and scenarios of the SIA, DWS and rural road works will be defined in detail along with their costs as well as the agronomic and socio-economic studies and the roles and responsibilities of the different parties involved in their management. In this phase the recurrent operating costs will be determined in relation to the sustainability of the investments.

Expected Outcomes

The outcomes will be:

- An estimate of the total development costs of the North Gafsa and South Gabes PDAI; detailed definition of all the components and scenarios of the SIA, DWS and rural road works along with their recurrent operating costs, in relation to the sustainability of investments; preparation of agronomic and socio-economic studies;
- Determination of roles and responsibilities of the different parties involved in the management of the aforementioned PDAI;
- And the preparation of PDs, the details and justification of the options retained for the development works in the feasibility study as well as the definition of the characteristics of the proposed infrastructure and development works.

Secondary Education Support Project Phase II (SESP II)

ADB Loan Amount	UA 50 million
Co-Financiers	Government of Tunisia
Approval Date	September 2005
Expected Completion Date	January 2012
Location	Nationwide
Executing Agency	General Directorate of Common Services in the Ministry of Education and Training

Background and Objectives

The Tunisian government has made education the focus of its development strategy in order to build human capital which is indispensable to competitiveness in a context of globalization and the knowledge economy. Such emphasis on education was reaffirmed in an education system reform program adopted in 2002 and entitled "The School of the Future", 2002-2007. This program, bolstered by the 2004-2009 presidential program, provides for a set of concrete actions that should enable the educational system to efficiently address economic and social needs.

The Bank Group had previously, financed two educational sector operations in Tunisia, namely: the Scientific and Technical Education Reinforcement Project completed in 1995 and the Secondary Education Support Project (SESP I). This project will therefore consolidate the gains of past operations financed by the Bank and the country's other development partners. The specific objective of the project is to help increase the intake capacity, relevance and quality of basic and secondary education.

Description

The combined activities of the project components will ensure harmonious development and will improve the quality and relevance of the educational system, in accordance with the national development plan.

Expected Outcomes

The project intends to:

- Promote access and equity in 2nd cycle basic education and in secondary education;
- Enhance the quality and relevance of 2nd cycle basic and secondary education;
- Consolidate the management and monitoring/evaluation framework and school system mechanisms; and
- Support project management.



Development of Cultural Industry



ADB MIC Grant Amount	UA 271 493
Approval Date	November 2010
Expected Completion Date	December 2013
Location	Nationwide
Executing Agency	Ministry of Culture

Background and Objectives

The Tunisian development model is based on a combination of economic and social initiatives and has recorded a satisfactory performance in recent years. Given that the economic activities of cultural vectors can be the source of tremendous growth in developing countries, the Tunisian government has decided to conduct a study on the development of cultural industries in order to define the axes of a national strategy to promote these industries and strengthen their role in achieving sustainable development.

The purpose of the study is to provide an objective overview of the current situation of cultural industries in Tunisia and contribute to the visibility of cultural production through improved information systems.

Description

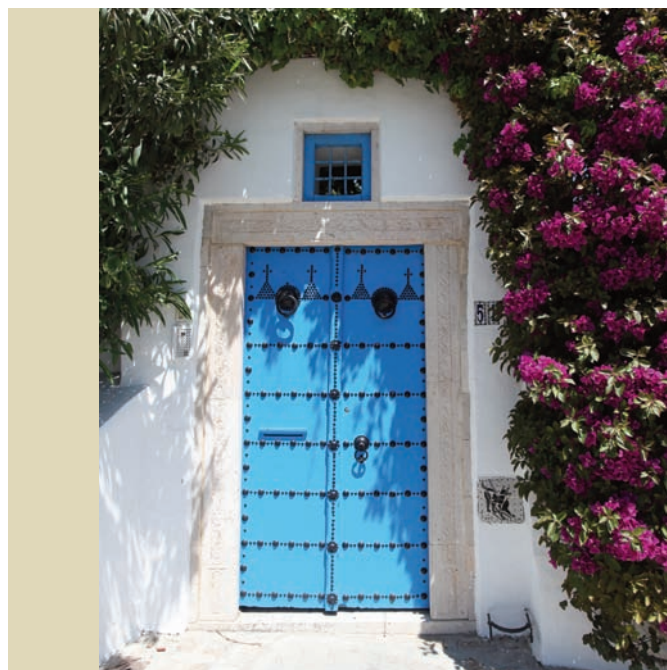
The study will entail:

- A detailed and comprehensive diagnosis of the current state of cultural industries in Tunisia; an assessment of their contribution in the dynamics of economic and social development;
- The identification of potential in this sector;
- A national strategy for development of cultural industries;
- A plan of actions to implement this strategy.

Expected Outcomes

The study will provide the following main results:

- An assessment of the current conditions of Tunisia's cultural industry and its potential ;
- A plan for implementing a strategy that will further develop the country's cultural activities and as such promote socio-economic development.



Health Services Export Strategy Development Study

ADB MIC Grant Amount	UA 0.53 million
Co-Financiers	Tunisian Government
Approval Date	October 2009
Expected Completion Date	December 2011
Location	National Territory
Executing Agency	Ministry of Public Health

Background and Objectives

In Tunisia, health and related services are considered a growth window and a key engine of economic and social development. In recent years, Tunisia has witnessed steady growth in this area that has propelled it to the level of leading nations on the international scene.

The overall objective of the proposed study is to promote health services export. Its specific objective is to formulate and implement a health services export development strategy. Hence, the study will lead to the formulation of a Strategy and Action Plan to promote Tunisia as a health services exporting pole and investment destination in that sector.

Description

The study will entail:

- A diagnosis of Tunisia's current supply, including an inventory of each of the health-related services and ancillary activities provided in Tunisia, their export turnover, their trends and consumers, available medical expertise, clinical capacity in terms of hospitals and private clinics, information on the regulatory framework provided to foreigners in Tunisia, cost of treatment, and other relevant information Tunisia's supply in areas of interest.

- An analysis of development prospects for health services export will be considered by taking into account future developments in health services at the international level;
- The formulation of a strategy and action plan promoting Tunisia as a host country for health care and health-related investments;
- The presentation of the study to trigger the implementation of the action plan.

Expected Outcomes

The study will have the following outcomes:

- A report will be prepared and a meeting held on each of the study stages including the launching report which will address the conclusions of the launching stage of the study;
- A report on the diagnosis of Tunisia's current accommodation supply;
- A report on Tunisia's international positioning and promotional papers;
- A report on development prospects by 2016;
- A strategy and action plan report;
- A final report, summarizing the entire study and including an action plan for the implementation of its recommendations.



Line of Credit to La Banque de Tunisie



ADB Loan Amount	€30 million
Approval Date	July 2002
Expected Completion Date	2004
Location	Nationwide
Executing Agency	Banque de Tunisie

Background and Objectives

The Tunisian Government has supported private sector development through its various development plans. The 10th plan (2001-2005), called for support of the private sector so that it could take up a paramount role international competition, expand the productive base and efficiently contribute to employment and exports promotion. To do this, private sector share in global investment should increase to about 60 % by the end of 10th plan.

The objective of this line of credit was to finance long term projects in the services industry. Specifically the line of credit was used to procure the capital goods and the supplies necessary for the creation, modernization, expansion and renovation of financially profitable enterprises with a potential for strong growth.

Description

This project entailed the:

- Financing of projects in the industry and services sector especially tourism;
- The restructuring of enterprises.



Expected Outcomes

The line of credit will:

- Allow Banque de Tunisie to meet with the financing requirements of projects in the industry and services sector, especially tourism;
- Contribute to the financial intermediation, and cover the financing needs of BT;
- Curb poverty through the creation of close to 1,000 jobs, targeting both low-skilled men and women and more likely to suffer from unemployment;
- The line of credit was also meant to contribute to the deepening of financial intermediation and to two growth of the country's economy by supporting industries and services, unfortunately as of December 2010 no evidence can be provided suggesting that the 8 sub-projects have received a BT loan. As such the development outcome has not yet been rated.

Line of Credit to Banque de l'habitat

ADB Loan Amount	UA 20 million
Approval Date	February 2002
Expected Completion Date	2006
Location	Nationwide
Executing Agency	Banque de l'Habitat

Background and Objectives

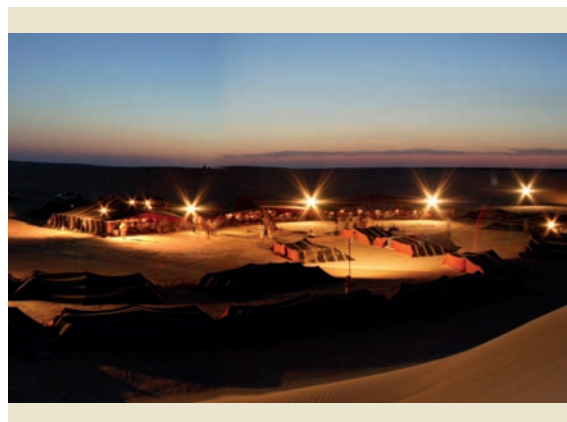
Tunisia hoped to achieve an average GDP growth of about 5.3% during the 10th Development Plan (2002-2006). That objective could only be attained if the private sector increased its contribution to the gross fixed capital formation from 56% in 2000 to 60% in 2006. Reforms including a review of the investment incentive system and the opening up of certain sectors contributed to the development of the private sector.

The objective of the line of credit was to fund the establishment, extension or renovation of sub-projects principally in the industry and tourism sub-sectors, to consolidate BH's long-term resources, and to improve the institution's capacity for long-term resources mobilization and environmental risk management. According to the pipeline of sub-projects submitted, the line was expected to finance about 27 operations in the industry and tourism sectors. Upon project completion, the tourism sector was estimated to grow yearly by 6% and the manufacturing industry by 6.8%.

Description

This project:

- Financed the creation, extension and renovation of approximately 27 sub-projects in the tourism and industry sectors by the end of 2004;



- Consolidated BH long-term resources;
- Improved its long-term resources mobilization and capacity to manage environmental risks.

Expected Outcomes

The line of credit:

- Enabled the BH to strengthen its financial capacity and diversify its activities in the industry and tourism sectors;
- Ensured the growth of the manufacturing sector's value added reaches 6.8% yearly between 2002 and 2004;
- Ensured the growth of the tourism sector's value added reaches 6% between 2002 and 2004.



Line of Credit to Tunisie Leasing

ADB Loan Amount	€ 8 million
Approval Date	July 2003
Expected Completion Date	December 2005
Location	Nationwide
Executing Agency	Tunisie Leasing

Background and Objectives

For several years now, the Tunisian Government has been implementing a resolute SME promotion policy. One of the main constraints to the development and creation of SMEs in Tunisia is access to financing. The Government's objective was to buttress the pace of creation of SMEs and their modernization. In this regard, leasing will play an important role through its ability to relax the constraint of guarantee, which is so difficult to overcome for SMEs.

Specifically, the envisaged line of credit aimed at financing small enterprises through small-scale operations of TD 20,000 to TD 300,000 maximum. In supporting the leasing sub-sector, this investment proposal backed the Government's programme to create 2, 500 new enterprises per annum during the 10th Plan.

Description

The line of credit:

- Financed the procurement of equipment, materials and immovables for leasing to SMEs operating in commercial, industrial, agricultural, fisheries and service activities;
- TL was the lesser and signed fixed-term contracts with the lessees in return for a lease payment which

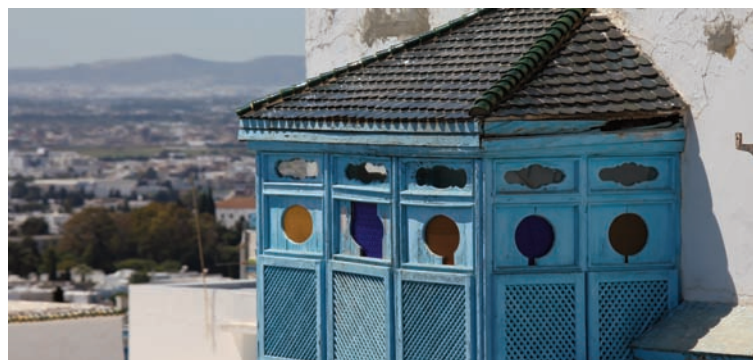
enabled the lessees to procure all or part of the equipment, materials or immovables at an agreed price while taking into account at least part of the eased payments made;

- Tunisie Leasing was the owner of the items and I eased them to the lessee for an agreed duration.

Expected Outcomes

Following the completion of this project, the line of credit will:

- Increase the net proceeds reflecting the result of the intermediation activity thanks to the ability of Tunisie Leasing to recover and lease amounts;
- Enhance the structural balance of TL thanks to a moderate increase in the loans it grants to its clients, an increase in equity funds and an intensive mobilization of medium and long-term resources to match resources to applications.



Line of Credit to Amen Bank



ADB Loan Amount	€ 20 million
Approval Date	March 2002
Expected Completion Date	2004
Location	Nationwide
Executing Agency	Amen Bank

Background and Objectives

For the past few years Tunisian economy has been recognised for its buoyancy. During the 9th Development Plan (1997-2001), the average GDP growth rate attained 5.3%. Private investment, despite its progress, has not attained the objectives set by the plan, its share in overall investment is only about 53.2% as against a forecast of 56%.

The Euro 20 million line of credit aimed to contribute to the financial equilibrium of Amen Bank by granting long and medium-term credits to viable projects mainly in the industry and services sectors (especially tourism) which are the growth-bearing sectors of the Tunisian economy. The line of credit was coupled with technical assistance aimed at introducing in Amen Bank new risk assessment and credit procedures, a new portfolio management and monitoring system and an adequate information system, as well as proposals for improving AB's efficiency.



Description

The proposed line of credit entailed:

- The financing of 5 sub-projects in the industry and services sector, including 4 for the establishment and expansion of hotels and one for electricity generation;
- Implementation of technical assistance for these projects involved increasing Amen Bank's organizational capacity to respond more effectively to customer needs, establishing efficient credit risk management, and reorganizing Amen Bank's database and consolidating its portfolio monitoring.

Expected Outcomes

The line of credit will resulted in:

- A significant socio-economic impact on job creation, especially in favor of women, and the transfer of technology and know-how, including the 1,298 permanent jobs created through the hotel sub-projects 60% or 665 of which are jobs for women between 2004 and 2009;
- Total turnover of the 5 projects will result in TND 204.2 million;
- Foreign exchange generated by the hotels will reach TND 46.2 million in 2009;
- Total taxes generated for the state reached TND 12.3 million in 2009.



SME Apex Facility Line of Credit

ADB Loan Amount	UA 32.11 million
Co-Financiers	The World Bank
Approval Date	July 2011
Expected Completion Date	December 2016
Location	Nationwide
Executing Agency	Central Bank of Tunisia

Background and Objectives

The protests that accompanied Tunisia's revolution caused a meaningful disturbance to the country's economic activity, which was further exacerbated by the events in neighboring Libya. The Bank promptly reacted to the needs of the transition government to ensure social support measures would be in place to address the needs of the population. This SME APEX Facility aligns with the goals of the Budget Support Program (BSP).

The proceeds of the LoC will be used by Tunisia to support SMEs in various sectors of the economy which have demonstrated their viability but may require additional funding as the economy experiences a slowdown. The sectors covered will include, agro-processing, manufacturing, construction, innovative projects including renewable energy, transportation and services.

Description

The line of credit will:

- Finance 140 SME projects, including 14 in innovative sectors;
- Provide technical assistance to 1000 entrepreneurs and SMEs and 10 financial institutions.

Expected Outcomes

It is expected that this project will lead to:

- Increased availability of short and long term loans to viable SMEs experiencing short term financial difficulties;
- Increase availability of financing to new business with strong potential;
- Strengthen financial institution capacity to lend;
- The expansion of Tunisia's SME sector in terms of its contribution to economic and employment growth.



Evaluation Study on Microcredit of BTS

ADB MIC Grant Amount	UA 0.139 million
Co-Financiers	Tunisian Government
Approval Date	January 2010
Expected Completion Date	December 2012
Location	Nationwide
Executing Agency	La Banque Tunisienne de Solidarité

Background and Objectives

As part of the fight against poverty and socio-economic integration of low-income communities, micro-credit schemes were established in Tunisia in March 1999.

In order to maximize the impact of the public resources entrusted to finance micro-credit associations, the BTS now wishes to evaluate the performance and social impact of its interventions, and make the necessary improvements to its policies. Consequently, the study aims to evaluate the social, financial and economic performance of the microcredit scheme managed by BTS and with the objective of reducing poverty, further integrating disadvantaged groups and creating sources of income.

- An analysis of the financial statements of the bank and of the micro-credit associations in terms of performance for achieving set objectives.
- the completion of targeted surveys which will evaluate the effects of training in zones of intervention and allow for defining the criteria of client satisfaction as well as creating the basis for a study on the unforeseen impacts of the program; and
- An analysis of the socio-economic impacts of the scheme with regard to poverty reduction.

Expected Outcomes

The expected outcomes of the study include the following:

Description

The study will entail the following components:

- An assessment of the program's social performance regarding the coherence of BTS's mission;
- An analysis of the organization of the bank's microcredit activities including the planning and allocation of resources, decision making procedures, credit policy and procedures, auditing procedures, information systems and the system for following up on the impacts of the scheme, the institutional relations with the associations and all other domains that may influence the performance of the system;
- A detailed plan with proposed methodologies and deadlines to meet, as well as the division of labor for consultants;
- A methodological report that will synthesize the tools and the methods of the project;
- A report on surveys including the database grouping results on the project's clients;
- A diagnostic report that addresses recommendations to improve the social performance of the microcredit system with regard to poverty alleviation and the socioeconomic integration of low-income communities;
- A final report including all results and recommendations for improving the project.



Fourth Line of Credit to the Investment Bank of Tunisia and the Emirates (BTEI)



ADB Loan Amount	€ 40 million
Approval Date	November 2002
Expected Completion Date	2006
Location	Nationwide
Executing Agency	BTEI

Background and Objectives

The 10th Development Plan of Tunisia covering the 2002-2006 period, assigned a key role to the private sector to reduce poverty, widen the country's productive base and contribute to employment promotion. To this end, the Government hoped to intensify efforts by the banking sector to raise the share of private investment of overall investments from 53 to 60% by the end of the Plan.

This project intended to enable private investment growth by furthering the capacity of BTEI to support productive activities, notably in the manufacturing industrial, tourist and other services sectors. As such the objective of the line of credit was to cover the direct and indirect foreign currency costs of sub-projects, some forty SME/SMIs belonging to private promoters.

Description

- The line of credit was used to cover the direct and indirect foreign exchange costs of financially and economically viable sub-projects including the following in the tourism industry: fifteen units of four star and ten three star hotel units will be constructed or refurbished. These hotel units will enhance accommodation capacity by 14,500 beds;
- Credit also supported the following sub-projects for manufacturing and services industry fifteen industrial

plants that will be chiefly created in construction materials sub-sector, food industry and commercial services.

Expected Outcomes

Expected outputs include:

- An increase in the tourism sector by 6%;
- An increase in the manufacturing industries reaching 5.6%;
- Accrue contributions of the tourism and manufacturing industries to the growth of the GDP.



Study for the Desalination of the Sea of Zaarat

ADB MIC Grant Amount	UA 0.8 million
Approval Date	May 2009
Expected Completion Date	December 2012
Location	Southern Tunisia
Executing Agency	Ministry of Development and International Cooperation

Background and Objectives

The water currently being supplied to the South of Tunisia as drinking water has a salinity higher than 3g/l, above the international norm of 2 g/l. The quality objective of the National Water Distribution Company (SONEDE) is to provide water with salinity not higher than 1.5 g/l. As a result, SONEDE recommends the implementation of a sweater desalination plant with a capacity of 50,000 m3/day to meet the 1.5 g/l salinity standard.

The objective of this study is the development of a technical and economic study that will result in a project of desalination of seawater in the Zaarat region of Tunisia. As a result of this project, it is expected that the private sector will become deeply involved in infrastructure management and financing.

Description

The study will entail the following phases:

- The identification and analysis of potential sites for the desalination plant;



- A technical and economic study for the implementation of the seawater desalination concession;
- Training of SONEDE technicians in desalination techniques and processes.

Expected Outcomes

The study aims to:

- Provide the entire population with drinking water despite the ever-worsening shortage, especially in the Southern part of the country where the groundwater is not renewable, with limited resources and degradable chemical quality and where demand is increasing steadily;
- Achieve a very high level of private sector involvement in the financing and management of drinking water infrastructure;
- Strengthen Tunisia's application for the concession principle for infrastructure financing and management;
- Improve the knowledge of appropriate and reliable desalination procedures;
- Provide non-conventional water resources to offset the scarcity of the resources available for the supply of drinking water to the population;
- Enable the private sector to attain a high level of involvement in infrastructure financing and management;
- Achieve proper implementation of the sweater desalination project.

SINEAU



ADB Loan Amount	€ 1,973,000
Co-Financiers	Tunisian Government, PISEAU
Approval Date	December 2009
Expected Completion Date	December 2014
Location	Nationwide
Executing Agency	Unite de Gestion par Objectif (UGO)

Background and Objectives

The risk that demand for water exceed supply due to population growth and living standards has become a reality in Tunisia. This situation is aggravated by ground water overexploitation as well as the degradation of water resources and soil. One hundred ground water sources suffer from water pollution caused by the annual release of approximately 155 million cubic meters of wastewater. Regarding soil, 50% of irrigated soil is sensitive to salinity while over 22% of these have become water logged.

The objective of the project is to ensure water safety and effectiveness of investments in the water sector in Tunisia by the integrated management of water resources and agricultural soils in irrigated areas and the mitigation of the effects of climatic variations on service-based water and agriculture.

Description

This project will entail:

- The establishment of a national information system on water through the synergy of the National Information System on Water (SINEAU) the various subsystems;
- A preliminary study designed to establish the institutional framework of SINEAU and define



indicators for monitoring water and soil irrigated with information from SINEAU;

- The development and implementation of SINEAU and its sub-systems;
- The acquisition of necessary computational equipment.

Expected Outcomes

This project will result in:

- The development of water resources, and their exploitation in a sustainable manner resulting from the availability of integrated information on water;
- An increased rate of the mobilization of sustainable water resources from 93% in 2008 to 96% in 2030;
- That total demand for water is met, and that this comprise of 2610 million m³ in 208 to 2800 million m³ in 2030;
- That demand for water per capita decreases from 250 sq ft per annum in 2008 to 215 m³ per capita in 2030.

Strategy Study on Sanitation

ADB MIC Grant Amount	UA 0.574 million
Co-Financiers	Tunisian Government
Approval Date	December 2009
Expected Completion Date	December 2012
Location	Nationwide
Executing Agency	ONAS

Background and Objectives

In Tunisia, the sanitation sector is the essential platform for harmonious and sustainable development, and a key factor in environmental conservation in view of its importance and impact on economic, social and human development. The National Sanitation Agency (ONAS), however, does not cover 107 districts, including 93 with a population below 10,000. To remedy this situation and generalize the installation of adequate sanitation services in districts nationwide, the Bank has provided ONAS with a grant to carry out a strategic economic, social, environmental, institutional and technical study to develop a programme for the construction of sanitation infrastructure in districts that do not yet have sanitation facilities and, hence, provide a better living environment for the inhabitants concerned.

As such, the objectives of this study are to facilitate improved access to sanitation, protect water resources

by combating the uncontrolled disposal of wastewater and in doing so improve the living standard of Tunisians.

Description

This study will entail:

- A study of the sanitation system of communities lacking adequate sanitation resources;
- The determination of an investment plan and an intervention program for 2012-2016;
- The development of an institutional framework for intervention in communities with less than 10,000 inhabitants;
- The development of a project to construct sanitation facilities in the 6 villages that lack the necessary sanitation infrastructure.

Expected Outcomes

Upon completion of this study:

- 100% of the communities of the country will dispose of a system of collection and treatment of water by 2030;
- Improved access to water sanitation in communities of less than 10,000 habitants as well as the 6 designated communities with over 10,000 habitants that do not dispose of these systems will be achieved and as a result the quality of life of those benefiting from this infrastructure will be improved, while the protection of water resources will be supported.



Study for the Improvement of the Drinking Water Supply in the Rural Areas of Bizerte and Beja



ADB MIC Grant Amount	UA 0.46 million
Co-Financiers	Tunisian Government
Approval Date	March 2010
Expected Completion Date	December 2012
Location	Bizerte and Beja
Executing Agency	Ministry of Agriculture and Hydraulic Resources

Background and Objectives

In Tunisia, the water sector remains a priority for economic and social development initiatives. Past efforts have helped give the country a large water infrastructure including 27 dams, 200 hillside dams, 766 small lakes and over 3,000 boreholes and shallow wells, mobilizing 83% of all exploitable water resources. However, despite the mobilization and transfer of water, the exploitation of conventional water resources will reach its limit in the near future and it is expected that demand coupled with increasing population and living standards could exceed supply for areas requiring good water quality. Recognizing this, Tunisia is committed to achieving a strategic change to develop its water resources and ensure better demand management in the various socio-economic sectors.

This study aims to compensate for Tunisia's limited water resources by financing a study which should lead to an improvement in the drinking water supply in the rural areas of Bizerte and Beja.

Description

The study will be completed in three phases:

- A study of the network's primary drinking water supply including a revision of the water needs calculated by SONEDE in 2000, a study of the network's potential

environmental impact, the establishment of a model and hydraulic study for the network, and the comparison of variable from a technical, economic and environmental perspective;

- Survey of the land measuring the prospect for relevant terrain the results of which will then be applied for the management of the social and environmental impacts of the network; and
- The development of the conditions necessary for the execution of the project.

Expected Outcomes

This study will result in the following outcomes:

- The planning and implementation of the networks in the area of the study;
- The planning and development of an internal distribution network for 20 rural groups;
- The management of the environmental and social impacts of the water networks;
- The planning of a budget necessary to undertake these objectives;
- The development of a portfolio of offers for the execution of the works in 40 prioritized locations, corresponding to the results of the study.



Study for the Protection Against Floods in Greater Tunis

ADB MIC Grant Amount	UA 0.57 million
Co-Financiers	Tunisian Government
Approval Date	October 2009
Expected Completion Date	December 2012
Location	Greater Tunis
Executing Agency	Ministry of Infrastructure, Housing and Physical Planning-DHU

Background and Objectives

The water sector remains a priority in Tunisia's economic and social development. The most recent floods, particularly those of September 2003 and September/October 2007 that occurred in the Greater Tunis area resulted in unprecedented material damage in the North Tunis area. The floods observed in the last two years caused unprecedented problems and the proposed study will be able to better equip the government to handle these challenges.

Specifically, the study aims to protect the cities and towns North and East of Greater Tunis—including Tunis, Ariana, Ben Arous and Mannouba—against floods and improve their water drainage capacity.

Description

This study will entail:

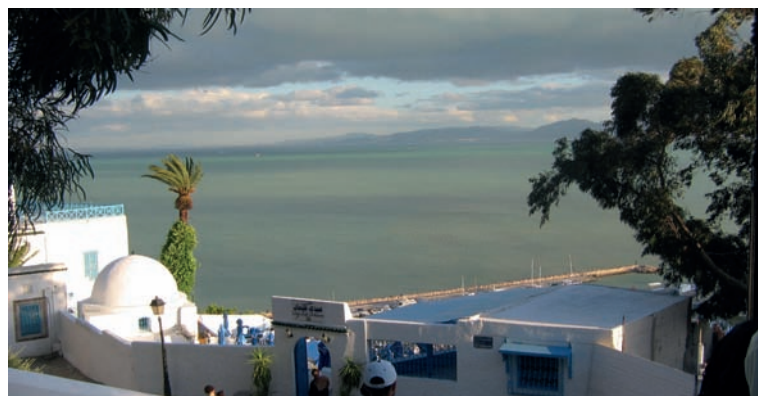
- The design and assessment of flood protection structures in the study area, including flood protection schemes and drainage of storm water together with primary and secondary structures;
- An estimation of the costs of needed structures to improve resistance against floods and drainage capacity in the designated zones;
- The preparation of bidding documents for the execution of works;

- The training of seven DHU technicians on the scaling of works and mathematical modeling for flood simulation;
- A final report including the assessments of the study will be produced.

Expected Outcomes

As a result of this study:

- Cities North and East of the Greater Tunis area will be protected against floods and a network of drainage for rainwater will be constructed;
- An improvement of knowledge regarding areas most susceptible to floods will be achieved, and affordable solutions for the improvement of water drainage and increased protection against floods will be proposed.



Water Strategy for Tunisia 2050



ADB Loan Amount	€ 1.92 million
Co-Financiers	Tunisian Government
Approval Date	December 2010
Expected Completion Date	December 2013
Location	Nationwide
Executing Agency	Ministry of Development (MDCI)

Background and Objectives

One of the objectives of the Tunisia's Presidential Program (2009-2014) is to secure Tunisia's long term access to water. This resulted in the adoption of a coherent strategic framework for improving the governance of water on which the population, and the water-intensive agricultural sector depend.

This study will contribute to the socio-economic development of the country by securing the availability and access to water in an efficient and sustainable manner. Specifically the study aims to promote investment in the structuring of the water sector, provide better control of extreme events that may affect water availability, as well as promote the reduction of poverty.

Description

This study will entail the following:

- The creation of an institutional framework for the study;
- The development of the strategy "water 2050" including an exhaustive diagnostic survey of the water sector;
- The preparation of the Terms of Reference for the study;
- The management of the study.

Expected Outcomes

This study will have the following results:

- Water demand will be completely satisfied in average hydrological conditions by 2050;
- Pollution sources of water will be reduced;
- Reduce poverty from 3.8% to less than 1% by 2050.



Rural Drinking Water Supply Program (RDWS)

ADB Loan Amount	UA 85.2 million
Co-Financiers	The Tunisian Government
Approval Date	October 2011
Expected Completion Date	December 2017
Location	Nationwide
Executing Agency	Ministry of Agriculture and Environment

Background and Objectives

Thanks to various DWS programs implemented by the Tunisian government, the access rate to drinking water is 100% in urban areas and 93.5% in rural areas. However, despite efforts made, the highly dispersed and most disadvantaged communities will have no access to drinking water.

The Rural Drinking Water Supply Program (RDWS) will respond to this demand by covering twenty of Tunisia's 24 governorates. It targets the most disadvantaged rural communities on the national territory, whose isolation and dispersal make it difficult for them to access low-cost drinking water.

Description

The program will entail:

- The construction of 161 new DWS systems;
- The rehabilitation of 150 simple DWS systems;
- The rehabilitation of 7 complex DWS systems to be transferred to SONEDE;
- The improvement of water conditions in three transfer areas;
- The procurement of 20 vehicles
- The training of 100 DGGREE experts;
- The recruitment of 20 rural engineers.

Expected Outcomes

The program will provide:

- Drinking water access to 328,191 rural inhabitants;
- Training in water treatment quality for 100 DGGREE and CRDA experts;
- Jobs for 20 rural engineers and technicians;
- Technical, administrative, financial and accounting capacity building for the grassroots management of drinking water networks.



Treated Wastewater Quality Improvement Project



ADB Loan Amount	UA 28.19 millions
Co-Financiers	The Tunisian Government
Approval Date	January 2012
Expected Completion Date	December 2014
Location	Nationwide
Executing Agency	The Tunisian Government

Background and Objectives

An arid and semi-arid country, Tunisia is faced with increasingly pronounced water stress due to the negative impacts of climate change on water resources, increasing water requirements for the economy as well as the degradation of water resources as a result of human activities. About 88% of traditional water resources are harnessed, 80% of which are used in agriculture. While Tunisia's water requirements are rising rapidly to support a growing economy, the water resource potential is declining due to a combination of natural factors related to climate change and artificial factors related to human activities.

To help address the challenges of its development at an early stage, Tunisia engaged in the rational management of its water resources. One of the thrusts identified to ease the pressure on these resources is the use of non-traditional water resources (waste water and treated salt water). The Treated Wastewater Quality Improvement Programme is the first stage in a process to use and enhance treated wastewater.

The project's main objective is to improve the population's living conditions through environmental protection, mitigation of the negative impact of wastewater discharge and support to the National Wastewater Reuse Programme.

Description

The project's main objective is to improve the population's living conditions through environmental protection,

mitigation of the negative impact of wastewater discharge and support to the National Wastewater Reuse Programme.

The project will serve to upgrade sanitation infrastructure and help building ONAS's capacities in order to improve wastewater quality for its reuse for watering and water table recharging activities as well as for water discharge in sensitive environments in compliance with the required standards.

Expected Outcomes

The project outcomes will be:

- The achievement of a wastewater reuse rate of 50% by 2016, compared to 30% at present;
- The contribution to aquifer recharging and easing of water stress;
- The development of irrigated agriculture and agricultural productivity;
- The creation, under integrated mini-projects, and revitalization of income-generating activities;
- The promotion of agricultural employment and contribution to the settlement of rural and peri-urban communities;
- the development of the fishery and tourism sectors in the regions concerned,
- The sludge enhancement and production of fodder to make up the shortfall; and
- The improvement of the inhabitants' living conditions through a reduction in the non-compliant treated waste water discharged on the Mediterranean coast and GT.

Study on Commercial Integration

ADB MIC Grant Amount	UA 0.31 million
Co-Financiers	Tunisian Government
Approval Date	September 2010
Expected Completion Date	May 2011
Location	Nationwide
Executing Agency	Ministry of Commerce

and the countries of the Gulf of Guinea, Central Africa and Great Lakes region.

Description

This study will entail:

- A diagnosis of the current trade situation with targeted countries;
- The presentation of results from missions to sub-saharan Africa;
- The preparation of a draft of the report including the strategy that should be implemented;
- A discussion of the final draft and the validation of the study's results.

Background and Objectives

According to the "Guidance Note" of the 9th Plan (2007-2016), export promotion is strategically important for the country's development plan. Indeed, this plan provides for an average growth rate of 6.1% and an average increase of exports of 6.6% for this period. To accomplish these aims, Tunisia is committed to anchor the economy in global networks by way of progressive trade integration.

As such, the objective of this study is to help identify the means to promote the private sector and employment and thus strengthen trade integration between Tunisia

Expected Outcomes

This study will result in:

- The improvement knowledge of Tunisia's trade situation with other African countries;
- The identification of the main barriers to trade between Tunisia and African countries;
- The identification of concrete policy options to boost the export of goods and services;
- The creation of a plan of action that is results-oriented;
- The definition of the types of operations (investment, institutional support project and program reforms) to complement and their priority level.

Statistical Capacity Building II



ADB MIC Grant Amount	UA 0.49 million
Co-Financiers	The Tunisian Government
Approval Date	March 2011
Expected Completion Date	December 2014
Location	Tunisia
Executing Agency	INS

Background and Objectives

Tunisia has been implementing reforms to modernize and strengthen the capacity of its administration. A main objective of these reforms has been to improve its capacity in the area of statistics. On its part, the Bank has supported these reforms through its Statistical Capacity Building (SCB) program in order to strengthen the country's National Statistical Systems (NSSs).

The objective of this project is improve the ability of the NSS to reliable and timely data, strengthening the capacity of the government to coordinate statistical support activities as well as the development and management of their national statistical activities. The data generated can facilitate policy formulation, decision making, effective results measurement and program design, implementation, monitoring, evaluation and dissemination, including, as well as the monitoring of progress in reaching the Millennium Development Goals (MDGs).

Description

The proposed assistance will include:

- Procurement of goods including data processing equipment and price survey equipment;
- The acquisition of consulting services, training and allowances for field workers and consultants at the national level;
- Support missions to Tunisia.



Expected Outcomes

The main expected outcomes of the program are as follows:

- Increase the reliability of national and regional poverty and other socioeconomic data;
- Strengthen the country's capacity in management, creating and maintaining databases, infrastructure statistics, household surveys and analysis;
- Increase the number of trained and retrained staff in the use of analytical tools;
- Collect, process and uploaded infrastructure data into the Data Platform (DP) database at national, sub-regional and regional level.

Support Program to Economic Recovery and Inclusive Development (PARDI)

ADB MIC Grant Amount	UA 337 millions
Co-Financiers	World Bank and European Union
Approval Date	November 2012
Expected Completion Date	December 2013
Location	Nationwide
Executing Agency	The Tunisian Government

Background and Objectives

The 2011 Tunisian Revolution exposed the striking regional inequalities and the need to support the decentralized structures and local communities in the planning and management of grassroots development. The Programme is a continuation of the Governance and Inclusive Development Support Programme PAGDI, approved in May 2011.

The Program's specific objective is to support the Democratic Transition in a context of severe budget deficit while meeting the population's priority demands and aspirations in the following areas: access to quality services, job creation, the promotion of transparency and strengthening of participation

Description

The PARDI is structured around 3 axes:

- Restore socio-economic stability to support the economic transition in Tunisia;
- Address the major needs expressed by the population in the wake of the revolution, in particular, unemployment and regional disparities, and;
- Strengthen the population's participation in the country's affairs.

Expected Outcomes

The PARDI has the following 3 expected outcomes:

- Decrease regional disparities by improving access to social services particularly in in poorly served regions and decrease exclusion;
- Create and maintain jobs;
- Strengthen citizens' s participation and accountability.



Improved Governance and Inclusive Development Budget Support Project



ADB Loan Amount	UA 321 million
Co-financiers	The World Bank, The EU, The AFD
Approval Date	May 2011
Expected Completion Date	December 2011
Location	Nationwide
Executing Agency	The Tunisian Government

Background and Objectives

The main objective of the program is to contribute to the restoration of socio-economic stability to support the democratic transition in Tunisia following the country's revolution in 2011. Though Tunisia's long-term political and economic prospects are promising, in the short-term the country faces significant challenges which were amplified by the economic slowdown and ever-growing popular demands.

This project is designed to mitigate the challenges at the macroeconomic level, by contributing to the budget and alleviating pressure on the current account. It also aims to contribute to the transition process by creating greater transparency and encouraging citizen participation in governance as well as expanding employment opportunities and promoting social services in disadvantaged areas.

Description

The project will:

- Support the establishment of a mobile service program in disadvantaged areas covering health, education and social series;
- Extend the coverage of social assistance programs for more than 131 000 to 185 000 needy families with a monthly payment of 70 dinar per family;

- The provision of emergency assistance amounting to 600 dinar for 33,000 people repatriated from Libya;
- Boost job creation through the provision of incentives to businesses and by providing training to various sectors of employment.

Expected Outcomes

The results of this project will include:

- The reduction of regional disparities;
- The creation of new jobs, the preservation of existing jobs and the improvement of mechanisms that promote employment;
- The improvement of citizen participation in the management of public affairs.



E-Government and Open-Government Implementation Support Project

ADB MIC Grant Amount	UA 0.683 million
Co-Financiers	The Tunisian Government
Approval Date	December 2012
Expected Completion Date	Not yet determined
Location	Nationwide
Executing Agency	The Tunisian Government

Background and Objectives

Until December 2010, Tunisia lagged significantly in terms of social inclusion, citizen participation and control. The public administrations were highly centralized and the State was omnipresent in the lives of the population. In this context, the development of civil society was limited and exchanges between the Government and population were never optimized. The 2011 revolution profoundly changed the situation regarding the importance attached to transparency and good governance. Tunisians now aspire to greater transparency and openness of public services to civil society; which will create greater citizen commitment. This new environment provides Tunisia with a unique opportunity to improve governance through greater transparency and opening up of the public administration. The project objective is to develop the use of ICTs in the Administration in order to strengthen e-governance, improve the Administration's efficiency and build closer ties with its citizens.

Description

The project objectives are to:

- Design an e-Government master plan aimed at clarifying the vision of the development of on-line services and improving their quality;
- Strengthen participatory democracy through the promotion of Open-Government, by developing two national platforms for Open-data e-participation;



- Support the implementation of e-government through a) capacity building for civil servants in the area of e-governance, and b) improving sensitization of the general public on, and their access to e-Government projects by adopting a communication policy and reconfiguring the government web-site in a one-stop-shop perspective.

Expected Outcomes

The study outcomes will be:

- The reformulation of the e-government strategic plan;
- The development of two e-governance platforms, i.e. a national open data platform and a national e-participation platform and;
- The building national capacities on the basis of training activities for civil servants in the public administration, communication on the government programme focused on the promotion of governance and enhanced efficiency of the Tunisian administration as well as the procurement of small items of equipment.

